

Court No. - 36

Case :- WRIT - C No. - 25532 of 2018

Petitioner :- Executive Engineer, Electricity Distribution Division-II

Respondent :- State Of U P And 2 Others

Counsel for Petitioner :- Dharmendra Srivastava

Counsel for Respondent :- C.S.C.,Devi Prasad Tripathi,Manish Kumar Pandey

Hon'ble Mrs. Sunita Agarwal,J.

The dispute being raised herein is with regard to the jurisdiction of the Permanent Lok Adalat to entertain the claim petition filed by a person who is not the consumer of the services rendered by the Electricity Department.

Submission of learned counsel for the petitioner is that the nature of dispute raised by the claimant was not covered by Section 22-A (b) (iii) of the Legal Services Authorities Act, 1987 and, as such, the Permanent Lok Adalat had no jurisdiction to grant compensation.

Shri Devi Prasad Tripathi and Shri Manish Kumar Pandey, learned counsels have put in appearance on behalf of respondent No.3. Learned Standing Counsel appears for respondent No.1.

Learned counsel for the parties pray for and are granted adjournment for the day to enable them to prepare the matter and argue on the maintainability of the claim petition.

As prayed, put up this matter on 9.8.2018 as fresh.

Order Date :- 6.8.2018

Jyotsana

Court No. - 36

Case :- WRIT - C No. - 25532 of 2018

Petitioner :- Executive Engineer, Electricity Distribution Division-Ii

Respondent :- State Of U P And 2 Others

Counsel for Petitioner :- Dharmendra Srivastava

Counsel for Respondent :- C.S.C.,Devi Prasad Tripathi,Manish Kumar Pandey

Hon'ble Mrs. Sunita Agarwal,J.

As prayed by learned counsel for the petitioner, put up this matter on 17th August, 2018 as fresh to enable him to extend his arguments.

Order Date :- 9.8.2018

Brijesh

Court No. - 36

Case :- WRIT - C No. - 25532 of 2018

Petitioner :- Executive Engineer, Electricity Distribution Division-II

Respondent :- State Of U P And 2 Others

Counsel for Petitioner :- Dharmendra Srivastava

Counsel for Respondent :- C.S.C.,Devi Prasad Tripathi,Manish Kumar Pandey

Hon'ble Mrs. Sunita Agarwal,J.

None appears for the petitioners. Learned counsel for the respondents is present.

Put up this matter on 27.8.2018 as fresh.

Order Date :- 18.8.2018

Jyotsana

Court No. - 36

Case :- WRIT - C No. - 25532 of 2018

Petitioner :- Executive Engineer, Electricity Distribution Division-II

Respondent :- State Of U P And 2 Others

Counsel for Petitioner :- Dharmendra Srivastava

Counsel for Respondent :- C.S.C.,Devi Prasad Tripathi,Manish Kumar Pandey

Hon'ble Mrs. Sunita Agarwal,J.

Heard Sri Dharmendra Srivastava learned counsel for the petitioner, learned Standing Counsel appearing for respondent nos. 1 and 2, Sri Devi Prasad Tripathi and Sri Manish Kumar Pandey learned counsels for the respondent nos. 3.

The claim was made by the respondent no. 3 namely the victim of the accident which occurred on 21.5.2017 when he came in contact with the live high tension line lying in the field of one Kamalkant, at about 8:30 A.M. while passing through the said field and got electrocuted.

As a result of the said accident, lower part of the body of respondent no. 3 got damaged badly. The burn injuries were to the extent that he became 100% disabled.

The respondent no. 3 was about 20 years old at the time of accident.

The award passed by the Permanent Lok Adalat is being challenged on the ground that the respondent no. 3 was not a consumer of the Electricity Department and as such, it was not open for the Permanent Lok Adalat to entertain his claim after the Electricity Department had refused to enter into any compromise.

It is further contended that for any such accident, as per the circular dated 3rd February, 2016, such a victim is provided Rs. 2 lakhs towards compensation based on the degree of disability, certified by the competent Medical Officer.

Moreover, the Permanent Lok Adalat has erred in taking into consideration the principles of determination of compensation as provided in the Motor Vehicles Act, 1988 to assess exorbitant amount of Rs. 21

lakhs and odd for the alleged loss to the victim.

As far as the fact of occurrence of the accident is concerned, it is contended that the said accident had occurred due to the natural calamity i.e. storm which was beyond the control of the petitioner and it cannot be held liable for there was no fault of the department. For any such incident, the liability to pay compensation is upon the State Government and the electricity Department cannot be saddled with the same.

These contentions of learned counsel for the petitioner are refuted by the learned counsel for the respondent no. 3 with the aid of the reasoning given in the order impugned.

Heard learned counsel for the parties and perused the record. To deal with the first objection of the learned counsel for the petitioner with regard to the jurisdiction of the Permanent Lok Adalat, it would be appropriate to go through the provisions of the Legal Services Authorities Act, 1987 (in short "the Act, 1987") whereunder Permanent Lok Adalat has been constituted.

The aims and object of the Act as provided therein is to constitute Legal Services Authority to provide free and competent legal services to the weaker section of the society so as to ensure that opportunities for securing justice are not denied to any citizen by reason of economic or other disabilities. The Lok Adalat is being organized to secure that the operation of the legal system promotes justice, on the basis of equal opportunities.

The statement of object and reasons of the Act' 1987 says that the need to provide statutory support was felt not only to reduce the burden of arrears of work in regular courts, but to take justice to the door-steps of the poor and the needy and make justice quicker and less expensive.

Initially, the system of Lok Adalat under Chapter VI of the Act was being used as an alternative dispute resolution forum. However, under the existing scheme which was mainly based on compromise or settlement between the parties, in case of no consensus, the case was returned to the Court of law. This had resulted in delay in the dispensation of justice. The Act, 1987 was amended by insertion of Chapter VI-A containing

Sections 22A to 22E in the year 2002 whereunder Permanent Lok Adalats have been set up. The disputes relating to public utility services have been entrusted to Permanent Lok Adalats not only to settle through the process of conciliation and settlement but if the said effort fails, power of adjudication has been conferred on Permanent Lok Adalats.

Section 22A of the Act, 1987 provides definition of "Permanent Lok Adalat" to mean a Permanent Lok Adalat established under sub-section (1) of Section 22B.

It also provides definition of "public utility service" which includes "supply of power by any establishment" and includes "other services" which may be in public interest declared by the State Government to be a public utility service for the purposes of the chapter VI-A.

Section 22B mandates establishment of Permanent Lok Adalat at such places and for exercising such jurisdiction in respect of one or more public utility services and for such areas as may be specified in the notification.

Section 22C provides the manner in which, an application raising a dispute shall be entertained by the Permanent Lok Adalat for settlement of dispute.

Relevant Section 22C and Section 22D of the Act, 1987 are quoted as under:-

"22C. Cognizance of cases by Permanent Lok Adalat.— (1) Any party to a dispute may, before the dispute is brought before any court, make an application to the Permanent Lok Adalat for the settlement of dispute:

Provided that the Permanent Lok Adalat shall not have jurisdiction in respect of any matter relating to an offence not compoundable under any law:

Provided further that the Permanent Lok Adalat shall also not have jurisdiction in the matter where the value of the property in dispute exceeds ten lakh rupees:

Provided also that the Central Government, may, by notification, increase the limit of ten lakh rupees specified in the second proviso in consultation with the Central Authority.

(2) After an application is made under sub-section (1) to the Permanent Lok Adalat, no party to that application shall invoke jurisdiction of any court in

the same dispute.

(3) Where an application is made to a Permanent Lok Adalat under sub-section (1), it—

(a) shall direct each party to the application to file before it a written statement, stating therein the facts and nature of dispute under the application points or issues in such dispute and grounds relied in support of, or in opposition to, such points or issues, as the case may be, and such party may supplement such statement with any document and other evidence which such party deems appropriate in proof of such facts and grounds and shall send a copy of such statement together with a copy of such document and other evidence, if any, to each of the parties to the application;

(b) may require any party to the application to file additional statement before it at any stage of the conciliation proceedings;

(c) shall communicate any document or statement received by it from any party to the application to the other party, to enable such other party to present reply thereto.

(4) When statement, additional statement and reply, if any, have been filed under sub-section (3), to the satisfaction of the Permanent Lok Adalat, it shall conduct conciliation proceedings between the parties to the application in such manner as it thinks appropriate taking into account the circumstances of the dispute.

(5) The Permanent Lok Adalat shall, during conduct of conciliation proceedings under sub-section (4), assist the parties in their attempt to reach an amicable settlement of the dispute in an independent and impartial manner.

(6) It shall be the duty of every party to the application to cooperate in good faith with the Permanent Lok Adalat in conciliation of the dispute relating to the application and to comply with the direction of the Permanent Lok Adalat to produce evidence and other related documents before it.

(7) When a Permanent Lok Adalat, in the aforesaid conciliation proceedings, is of opinion that there exist elements of settlement in such proceedings which may be acceptable to the parties, it may formulate the terms of a possible settlement of the dispute and give to the parties concerned for their observations and in case the parties reach at an agreement on the settlement of the dispute, they shall sign the settlement agreement and the Permanent Lok Adalat shall pass an award in terms thereof and furnish a copy of the same to each of the parties concerned.

(8) Where the parties fail to reach at an agreement under sub-section

(7), the Permanent Lok Adalat shall, if the dispute does not relate to any offence, decide the dispute.

22D. Procedure of Permanent Lok Adalat.- *The Permanent Lok Adalat shall, while conducting conciliation proceedings or deciding a dispute on merit under this Act, be guided by the principles of natural justice, objectivity, fair play, equity and other principles of justice, and shall not be bound by the Code of Civil Procedure, 1908 (5 of 1908) and the Indian Evidence Act, 1872 (1 of 1872)."*

A careful reading of sub-section (1) of Section 22C of the Act, 1987 indicates that any dispute of civil nature, before it is brought before any court, can be raised by any party by moving an application before the Permanent Lok Adalat for settlement of such dispute.

Only exception is provided in provisos added to sub-section (1) of Section 22C. First proviso contemplates that the Permanent Lok Adalat shall have no jurisdiction in respect of any matter relating to a non-compoundable offence; second proviso provides for pecuniary jurisdiction of the Permanent Lok Adalat which at present is Rs. 25 lakhs; third proviso is not relevant. The manner in which the application is to be dealt by the Permanent Lok Adalat is clear from combined reading of sub-section (2) to sub-section (8) of the said section. As per the said provisions as soon as an application is moved, the Permanent Lok Adalat, shall make an effort to resolve the dispute through conciliation and assist the parties in their attempt to reach at an amicable solution of the dispute in an independent and impartial manner.

In case, in the conciliation proceedings, the Permanent Lok Adalat reaches at the conclusion that there exist elements of settlement which may be acceptable to the parties, it may formulate the terms of a possible settlement of the dispute and give opportunities to the parties for their observations.

However, sub-section (8) of Section 22C contemplates that in case, the parties fail to reach at an agreement under sub-section (7), the Permanent Lok Adalat shall decide the dispute on merits, if it does not relate to any offence (non-compoundable one). Thus from the combined reading of sub-section (1) to sub-section (8) of Section 22C as also from the aims and object of the Act, 1987, there cannot be a doubt to the

position which is culled out as under:-

(1) Any party may approach the Permanent Lok Adalat before bringing a civil dispute before any Court of law i.e. adjudicatory forum.

(2) Upon presentation of the dispute, the Permanent Lok Adalat shall make an effort for conciliation.

(3) In case, such an effort failed, it shall decide the dispute on merits by adopting the principles of natural justice, fair play and equity.

(4) However, it has no jurisdiction to deal with the matters relating to non-compoundable offences.

The challenge to the provisions of Sections 22A to 22E of the Act being arbitrary, violative of Article 14 of the Constitution of India and contrary to the rule of law has been repelled by the Apex Court in **Bar Council of India vs. Union of India**¹ in the following words:-

“21. Up to the above pre-litigation conciliation and settlement procedure, there is no problem or issue. The petitioner is seriously aggrieved by the provision contained in Section 22-C(8) which provides that :

“22.C. (8) where the parties fail to reach at an agreement under sub-section (7), the Permanent Lok Adalat shall, if the dispute does not relate to any offence, decide the dispute.”

This provision followed by Section 22-D which, inter alia, provides that while deciding a dispute on merit the Permanent Lok Adalat shall not be bound by the Code of Civil Procedure, 1908 and the Indian Evidence Act, 1872 and Section 22-E which accords finality to the award of Permanent Lok Adalat under sub-section (1) and the provision made in sub-section (4) that every award made by the Permanent Lok Adalat shall be final and hence shall not be called in question in any original suit, application or execution proceedings form mainly bone of contention. Are these provisions violative of Article 14 of the Constitution of India and contrary to rule of law, fairness and even- handed justice? are the questions to be considered.

22. Chapter VI-A inserted by the 2002 Amendment Act in 1987 Act, as its title suggests, provides for pre-litigation conciliation and settlement procedure. The disputes relating to public utility service like transport service for carriage of passengers or goods by air, road or water or postal, telegraph or telephone service or supply of power, light or water or public conservancy system or sanitation or service in hospital or dispensary or insurance service, etc., in the very scheme of things deserve to be settled expeditiously. Prolonged dispute in

1 (2012) 8 SCC 243

respect of the above matters between the service provider and an aggrieved party may result in irretrievable damage to either party to the dispute. Today, with increasing number of cases, the judicial courts are not able to cope with the heavy burden of inflow of cases and the matters coming before them. The disputes in relation to public utility service need urgent attention with focus on their resolution at threshold by conciliation and settlement and if for any reason such effort fails, then to have such disputes adjudicated through an appropriate mechanism as early as may be possible. With large population in the country and many public utility services being provided by various service providers, the disputes in relation to these services are not infrequent between the service providers and common man. Slow motion procedures in the judicial courts are not conducive for adjudication of disputes relating to public utility service.”

In another judgment in **United India Insurance Co. Ltd. vs. Ajay Sinha**², the Apex Court observed as under:

26. Here, however, the Permanent Lok Adalat does not simply adopt the role of an Arbitrator whose award could be the subject matter of challenge but the role of an adjudicator. The Parliament has given the authority to the Permanent Lok Adalat to decide the matter. It has an adjudicating role to play.

The definition of “public utility service” under the Act, 1987 takes within its sweep the services provided by U.P. Power Corporation Limited in supply of power.

The contention of the learned counsel for the petitioner that there shall be a relationship of consumer and service provider between the claimant and the Corporation to entertain the dispute by the Permanent Lok Adalat is wholly out of the context of the Act, 1987. The said idea is alien to the Act, 1987. The Act does not contemplate the redressal of grievances of a consumer of electricity relating to supply of electricity. The words “supply of power to the public by any establishment” in clause (b) (iii) of Section 22-B cannot be given such a restricted meaning as suggested by the learned counsel for the petitioner.

Applying rule of literal construction, the above clause can only be read to mean that “the matters relating to supply of power by any establishment to the public” would fall within the meaning of “public utility service” under sub-section (b) of Section 22A of the Act, 1987. The Act talks of supply of power to public and nowhere contemplates consumer of electricity or power. What has not been provided by the legislation cannot

be added by the Court. Such an interpretation is wholly impermissible.

Reference is made to the judgment of the Apex Court in **Raghunath Rai Bareja And Another vs Punjab National Bank And Others**³

Relevant paragraphs '39', '56' and '57' of the said judgment is quoted as under:-

“39. In M/s. Hiralal Ratanlal vs. STO, 1973 (1) SCC 216, this Court observed:

"In construing a statutory provision the first and foremost rule of construction is the literary construction. All that the Court has to see at the very outset is what does the provision say. If the provision is unambiguous and if from the provision the legislative intent is clear, the Court need not call into aid the other rules of construction of statutes. The other rules of construction are called into aid only when the legislative intent is not clear."

56. The same view has been taken by this Court in Harshad S. Mehta vs. State of Maharastra reported in 2001 (8) SCC 257 (vide para 34) and Patangrao Kaddam Kaddam vs. Prithviraj Sajirao Yadav Deshmuch 2001 (3) SCC 594.

57. The literal rule of interpretation really means that there should be no interpretation. In other words, we should read the statute as it is, without distorting or twisting its language."

Even otherwise, under the Electricity Act, 2003 readwith the Electricity Supply Code, 2005, the disputes relating to consumption of electricity such as assessment etc. raised by a consumer are cognizable by the statutory authorities provided under the Act, 2003. The jurisdiction of the Civil Court is barred by Section 145 of the Electricity Act, 2003 in such matters.

In the instant case, the dispute has not been raised by a consumer of electricity rather by a person who got electrocuted by a live high tension wire lying unattended in a field i.e. a public place. The claim for damage was made on account of the fact that the respondent no. 3 had suffered 100% disability in the said accident. Such dispute according to own contention of learned counsel for the petitioner is cognizable by a Civil Court which can provide damages in such a situation.

Thus, in relation to a dispute where the Civil Court can take cognizance, before a person approaches the Civil Court, he can approach

³ 2007 (2) SCC 230

the Permanent Lok Adalat under sub-section (1) of Section 22C of the Act, 1987. The respondent no. 3 is a man of small means. Being a member of weaker section of the society, he cannot be relegated to the remedy of civil suit. Such a direction would be contrary to the basic object of the Act, 1987.

None the less, the fact of occurrence of the accident is not disputed by the petitioner establishment.

Considering the said fact, this Court is of the considered view that the respondent no. 3 being a person belonging to weaker section of the society was very well within his right to approach the Permanent Lok Adalat for redressal of his grievances relating to negligence on the part of the petitioner establishment, which is a distribution company and has an onerous duty towards the public at large to maintain devices used in supply of electricity. The Permanent Lok Adalat was thus having jurisdiction to deal with the dispute on merits and decide the same as the efforts for conciliation had failed. However, as per Section 22D, while deciding the dispute on merits, the Permanent Lok Adalat shall be guided by the principles of natural justice, objectivity and fair play and equity. The proceedings are conducted by it in a summary way and, therefore, it is not bound by the Code of Civil Procedure and the Indian Evidence Act.

In the instant case, upon presentation of the application, the efforts for conciliation have been made by the Permanent Lok Adalat but the petitioner herein had shown its inclination to contest the claim by presentation of a written statement on 18.11.2017. The grounds of contest as raised by the petitioner herein have been noted by the Permanent Lok Adalat in the order impugned. Considering the assertions therein, this Court is of the considered view that there was no option before the Permanent Lok Adalat but to proceed on the merits of the claim in view of sub-section (8) of Section 22C of the Act, 1987. There is no jurisdictional error.

Next submission is that the permanent Lok Adalat has erred in applying the formula provided in the second schedule to the Motor Vehicles Act, 1988 for determination of compensation. However, as to the computation itself much has not been argued by the learned counsel for

the petitioner. Only submission was that the compensation is highly excessive.

The object of awarding compensation to a victim of the accident is to restore the claimant to the pre-accidental position and in judging whether the compensation is adequate, reasonable and just, monetary compensation is required to be arrived at on the principle of *restitutio in integrum*. The principles to compensate for the loss of limb or life flows from the fundamental principles of law of Torts.

In a case of medical negligence, while awarding compensation, the Apex Court in **Nizam's Institute of Medical Sciences vs. Prasanth S. Dhananka and others**⁴ and **Balram Prasad vs. Kunal Saha and others**⁵ has applied principles laid down under the Motor Vehicles Act, 1988 in granting compensation to the claimant. Applying the proposition of law laid down in **Ningamma and another vs. United India Insurance Company Ltd.**⁶, it was held that the claimant was entitled for determination of just and reasonable compensation under different heads. The Apex Court has said that while calculating the quantum of compensation, the court has to strike a balance between the demands of a victim and the complete denial of claim by the opposite party. The adequate compensation considering the kind of damage that the claimant has suffered, the expenditure that he has incurred and is likely to incur in the future as also the loss of future prospects are matters which are to be taken into consideration to award just compensation.

The Apex Court has even rejected the use of multiplier system to calculate the quantum of compensation with the observation that all the aforesaid aspects of the matter cannot be taken care of under the multiplier method.

Relevant observations in **Balram Prasad** (supra) in paragraph '124' are as under:-

“124. A careful reading of the above cases shows that this Court is skeptical about using a strait jacket multiplier method for determining the quantum of compensation in medical negligence claims. On the contrary, this

4 2009 (6) SCC 1

5 2014 (1) SCC 384

6 2009 (13) SCC 710

Court mentions various instances where the Court chose to deviate from the standard multiplier method to avoid over- compensation and also relied upon the quantum of multiplicand to choose the appropriate multiplier. Therefore, submission made in this regard by the claimant is well founded and based on sound logic and is reasonable as the National Commission or this Court requires to determine just, fair and reasonable compensation on the basis of the income that was being earned by the deceased at the time of her death and other related claims on account of death of the wife of the claimant which is discussed in the reasoning portion in answer to the point Nos. 1 to 3 which have been framed by this Court in these appeals. Accordingly, we answer the point No. 4 in favour of the claimant holding that the submissions made by the learned counsel for the appellant-doctors and the AMRI Hospital in determination of compensation by following the multiplier method which was sought to be justified by placing reliance upon Sarla Verma and Reshma's cases (supra) cannot be accepted by this Court and the same does not inspire confidence in us in accepting the said submission made by the learned senior counsel and other counsel to justify the multiplier method adopted by the National Commission to determine the compensation under the head of loss of dependency."

In the instant case, taking guidance from the second schedule of the Motor Vehicles Act, 1988 multiplier method has been adopted for awarding compensation to the claimant for the damages suffered by him.

Considering the age of the claimant and the medical prescriptions brought on record regarding his burn injury and the disability certificate, the Permanent Lok Adalat reached at a conclusion that on account of the said injury, the claimant had suffered 100% disability. The claimant was 20 years old at the time of accident and lost his both upper limbs and suffered serious permanent injuries on the lower part of his body on account of which he is confined to bed for his lifetime. Adding medical expenditures incurred by the claimant and computing monetary compensation for mental sufferance and loss of future prospects due to physical disability of the victim, the damages to the tune of Rs. 21 lakhs and odd has been awarded by the Permanent Lok Adalat. No dispute was raised about the age of the claimant or the disability certificate issued by the competent authority produced by him to prove the grade of his permanent disability. Moreover, the petitioner has not disputed the computation for loss of income and future prospects of the claimant made by the Permanent Lok Adalat.

Further the Permanent Lok Adalat had opined that in the event of the strong storm, it was incumbent upon the electricity Department to disconnect the electric current from the electricity sub-station. Effective steps as required have not been taken by the department so as to avoid any loss of human or animal life. It was, therefore, held that the claimant had suffered on account of negligence of the department. The compensation awarded by the Permanent Lok Adalat, thus, cannot be said to be unjust or against the principles of fair play.

Last submission of learned counsel for the petitioner that the circular dated 3rd February, 2016, provides for payment of a maximum sum of Rs.2 lakh as compensation for death and a proportionate amount to the extent of disability, subject to ceiling of Rs. 2 lakh in cases of partial or permanent disability cannot be accepted, inasmuch as, the said circular is not binding on a court of law though it is binding on an official of the Corporation while admitting a claim for compensation in case of death or disability.

In view of the above discussion, this Court is of the considered view that the Permanent Lok Adalat was well within its jurisdiction to enter into the merits of the claim made by respondent no. 3 and has rightly adjudicated it by computing the monetary compensation for the damages suffered by respondent no. 3 taking guidance from the settled principles for assessment of such damages.

For the above noted reasons, no interference is required.

The writ petition is found devoid of merits and hence **dismissed**.

Order Date :- 27.8.2018

Brijesh

(Sunita Agarwal, J.)